MK FRAUD INSIGHTS

FRAUD READINESS · ESSENTIAL

Fraud Readiness Report

Marula Retail Holdings (Pty) Ltd (fictional)

Assessment reference MKFRS-2026-RV05BD5748
13 November 2026
Confidential. Prepared for the management of Marula Retail Holdings (Pty) Ltd (fictional).

RESTRICTED TEST · Fictional organisation entered through the test deployment · Revised method not approved by MK: no readiness score is issued · Not for customer release

ABOUT THIS REPORT

This report traces the organisation's answers from reported controls to practical action

This report explains how Marula Retail Holdings (Pty) Ltd's answers shape its fraud exposure, where the answers leave uncertainty, and what the organisation can establish first. It moves from the overall position to the patterns behind it, the selected findings, plausible pathways, proposed responses and a practical programme for leadership oversight.

EXECUTIVE SUMMARY	Core controls are widely reported in place, while unresolved answers and weaker practices limit reliance on them
READINESS PROFILE	The area profile shows a broadly reported control base with mixed support in selected operational areas
WHAT IS DRIVING THE POSITION	Management should treat weaker supporting practices as a limitation on reported controls
THE FINDINGS THIS REPORT DEVELOPS	The selected findings show where reported controls need clearer operating support
	AI-enabled schemes may not be considered consistently across relevant processes
	The method for identifying risks above tolerance is unclear
	Invoice controls need clear evidence that goods or services were received
	Block leave may not reach every role where continuous control could conceal fraud
	The fraud assessment may not identify schemes in the organisation's own processes
	Supplier onboarding may permit a fictitious supplier to remain available for payment
	Fraud assessment updates may not remain visible as the business changes
HOW FRAUD EXPOSURE COULD MATERIALISE	The selected weaknesses could enable fraud through ordinary business processes
WHAT MANAGEMENT SHOULD DO FIRST	The proposed responses begin by settling the answers before strengthening fraud assessment practices
A 30, 60 AND 90 DAY RESPONSE	The proposed programme establishes facts, designs the controls and begins operation under board oversight
BASIS OF THIS REPORT	This assessment relies on the organisation's own answers and leaves approval matters visible
MANAGEMENT CONCLUSION	Leadership can strengthen the reported control position by settling answers and making fraud assessment operational

EXECUTIVE SUMMARY

Core controls are widely reported in place, while unresolved answers and weaker practices limit reliance on them

On its own answers, the organisation reports that fraud scenarios apply across 90 scenarios. A core control is reported in place, with or without a weaker related practice, for 86 scenarios, while a core control is reported as a gap for 0 scenarios. This provides a broadly positive reported control position, but it does not establish how consistently those controls operate in practice.

The report identifies 4 scenarios where answers either cannot both be right or raise questions that the answers do not settle. Until those matters are resolved, the controls concerned should not be treated as covering their scenarios. The organisation also reports weaker related practices behind controls said to be in place for 15 scenarios, which means the headline answer may depend on supporting activity that is incomplete or not yet operating.

A recurring pattern is that a control is reported as present while related operating practices are weaker. This affects the organisation's ability to rely on process ownership, supplier onboarding, invoice confirmation, role coverage and the continuing usefulness of fraud risk assessment. The controls this report sets out first are intended to establish a clearer operating foundation before broader changes are pursued.

The fraud risk assessment also requires focused attention because its answers include a contradiction, open questions and weaker related practices. If the assessment does not clearly identify schemes, involve the people who run relevant processes, and show how management decides responses, it may not direct control effort to the processes where fraud could arise.

No score, maturity level, band or readiness conclusion is issued. The revised approach has not been approved, and the organisation's answers do not provide a basis for an approved readiness conclusion. The appropriate leadership response is therefore to settle the outstanding matters, strengthen the related practices described in this report, and oversee the proposed actions through the board.

WHAT THE ASSESSMENT ESTABLISHES

SCORE

Not issued

No score is calculated. The revised scoring method has not been approved by MK, so this report issues no score, maturity level or band.

UNRESOLVED INCONSISTENCIES

1 to settle; 3 to clarify

1 scenario has answers that cannot both be right. A further 3 scenarios raise questions the answers do not settle. Until they are settled, the controls concerned are not treated as covering their scenarios.

PROVISIONAL MANAGEMENT INTERPRETATION

0 with a control reported as a gap

On its own answers, the organisation reports the core control in place for 86 of the 90 fraud scenarios that apply; 4 more have answers to settle or clarify; and 0 have a core control reported as a gap.

APPROVED READINESS CONCLUSION

None issued

MK states its readiness conclusion here under its approved readiness method. Until then the report sets out what the answers establish.

The four statements are kept separate: no score is issued, the inconsistencies and the interpretation come from the organisation's own answers, and the readiness conclusion is MK's.

READINESS PROFILE

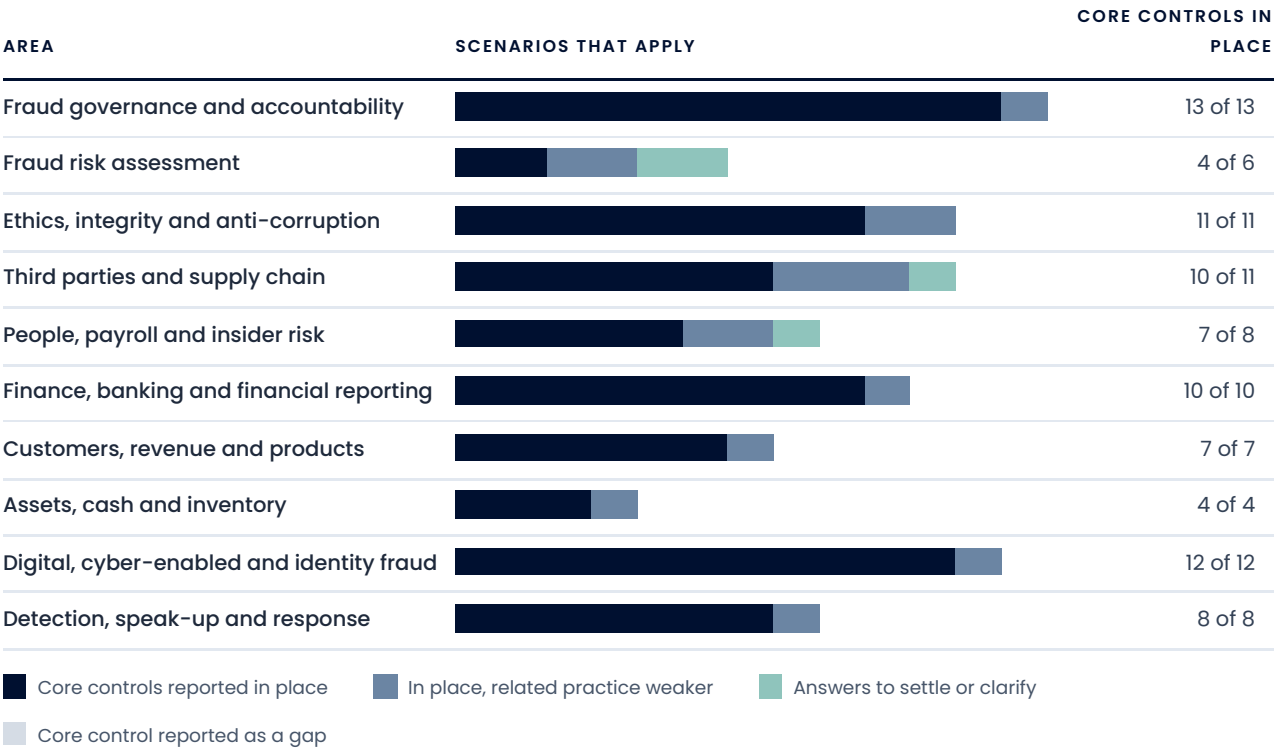
The area profile shows a broadly reported control base with mixed support in selected operational areas

Across the assessed areas, the organisation reports no area in which most core controls are reported as gaps. This is consistent with the overall position that core controls are generally reported as present. The absence of reported core-control gaps should nevertheless be read alongside the related practices that are partly in place, set out but not yet operating, or unresolved.

The profile is uneven because fraud risk assessment, third-party activity, and people and payroll processes contain the open scenarios. In fraud risk assessment, the organisation's answers indicate that the assessment exists, but its supporting practices do not yet provide a clear and complete account of ownership, process participation, scheme descriptions and documented updates.

Third-party and people processes show a similar distinction between a reported control and the practices that make it dependable. Invoice checks need clarity about evidence of delivery or service completion, while block leave needs a clear basis for identifying the roles that must be covered. These matters can be resolved through clear process ownership, agreed evidence requirements and routine management oversight.

READINESS PROFILE: FRAUD SCENARIOS BY AREA



Each bar shows the fraud scenarios in the method that apply to the organisation in that area, by what its answers report about the controls that stop them. Areas appear in the method's order.

WHAT IS DRIVING THE POSITION

Management should treat weaker supporting practices as a limitation on reported controls

ACROSS THE ORGANISATION

Controls reported in place depend on supporting practices that need strengthening

Across the organisation, several controls are reported as in place while related practices are reported as weaker. This does not mean the core controls are absent. It means that their practical effect may depend on activities that are incomplete, not consistently embedded, or awaiting clearer ownership. The pattern extends across governance, ethics, supplier activity, people processes, finance, customer activity, assets, digital activity and response arrangements.

Fraud can exploit this difference between a stated control and its supporting practice. A supplier process may exist while independent approval, director comparison, supplier re-checking or dormant supplier closure is incomplete. A block leave requirement may exist

while the organisation cannot show how every relevant role is identified. An invoice check may exist while the evidence used to demonstrate receipt or service completion is unclear.

Leadership should require process owners to state how each reported control operates, what evidence it relies on, who performs it, and how exceptions are handled. This will enable the organisation to convert broad control statements into repeatable operating steps, without assuming that a reported control provides protection beyond the practices that support it.

FRAUD RISK ASSESSMENT

Fraud risk assessment does not yet provide the clarity that its reported position suggests

The fraud risk assessment area has 4 scenarios with answers to settle, questions to clarify or weaker related practices, from 6 scenarios that apply. The open matters concern whether AI-enabled schemes are considered in relevant processes, how risks above tolerance are identified, whether management owns the results, whether process owners participate, and whether the assessment remains useful as the business changes.

This matters because fraud risk assessment is the point at which the organisation should connect possible schemes to the processes in which they could occur and the controls intended to prevent or detect them. If the assessment is not described in operational terms, management may receive a general view of risk without a clear route from identified schemes to accountable owners and practical controls.

The chief executive should require the fraud risk lead to settle the open answers and establish a process in which management accepts the results, process owners contribute their knowledge, schemes are described clearly, and relevant processes are walked through. These actions will make the assessment more useful as a management tool and give the board a clearer basis for oversight.

THE FINDINGS THIS REPORT DEVELOPS

The selected findings show where reported controls need clearer operating support

The findings below were selected by starting with scenarios whose answers need to be settled or clarified, then selecting representative scenarios from the themes. This is a selection approach rather than a ranking of fraud risks. It is intended to focus leadership attention on the answers and practices that should be addressed first.

FRAUD RISK ASSESSMENT

AI-enabled schemes may not be considered consistently across relevant processes

The organisation reports that AI-enabled fraud is covered, while another answer states that the assessment does not ask how AI could be used against controls in processes of concern. These answers cannot both describe the same operating position. The reported control should therefore not be relied on until management has settled the position.

Fraudsters may use deepfake voice or video instructions, synthetic identities, or generated documents to imitate a person or create apparently convincing evidence. These methods can defeat controls that depend mainly on recognising a voice, face, signature or document. The risk is not that every recognition-based control will fail, but that a control may accept a false artefact if the process has not considered this form of deception.

A sound approach is for the fraud assessment to consider, for each relevant process, how AI could be used to bypass the controls in that process. Where a process relies on recognition, the organisation can establish additional confirmation through a separate known channel, clearer authority checks, or other process-specific safeguards rather than relying on the apparent authenticity of a request alone.

The chief executive should require the fraud risk lead to reconcile the conflicting answers and explain which processes are covered, how AI-enabled schemes are considered, and what changes are needed where recognition-based checks are used. The agreed answer should then guide future assessment updates and practical control design.

POSITION	CORE CONTROL	OWNER	FIRST RESPONSE
Answers that cannot both be right	AI-enabled fraud covered: in place	Fraud risk lead	30 days (proposed)

FRAUD RISK ASSESSMENT

The method for identifying risks above tolerance is unclear

The organisation reports that a response is decided for every risk above tolerance, while likelihood and harm ratings are reported as not in place. Risks can be identified through methods other than ratings, but the answers do not explain what method is used or how management determines that a risk requires a response.

Without a clear method, the organisation may struggle to show why one fraud scheme receives a control response, process change, acceptance decision or other treatment while another does not. This can make it difficult for management to direct its resources consistently and for the board to understand how decisions about fraud exposure are reached.

Good practice is to set out the basis on which fraud risks are assessed and the circumstances in which a response is required. The approach may use likelihood and harm, or another stated method, but it should enable management to explain how a risk is judged against tolerance and how the chosen response will be revisited if the exposure does not reduce.

The fraud risk lead should provide a written explanation of how risks above tolerance are identified and how responses are decided. If the current approach does not provide a clear basis for that judgement, the organisation should amend the assessment process before placing reliance on the reported response arrangements.

POSITION	CORE CONTROL	OWNER	FIRST RESPONSE
A question the answers leave open	Response decided: in place	Fraud risk lead	30 days (proposed)

THIRD PARTIES AND SUPPLY CHAIN

Invoice controls need clear evidence that goods or services were received

The organisation reports that invoices are checked against approved orders and confirmation of receipt before payment. At the same time, receipt of goods before payment is reported as partly in place, and confirmation of service delivery by the person who received the service is described as set out but not yet operating. The answers do not explain what evidence is used where a receipt is not available.

A supplier could submit an invoice for goods not delivered, services not performed, quantities greater than those supplied, or rates that differ from the agreement. If the invoice is approved by someone who did not receive the goods or service, and the evidence of

receipt is unclear, the payment may enter the ordinary payment process without a reliable link to what the organisation actually received.

A practical three-way check should link each invoice to an approved order, quote or contract, and to evidence that the goods or services were received. For services, the person who received the service should provide the relevant confirmation. Exceptions should be visible to finance leadership, and recurring differences should prompt review of the supplier, approver or process concerned.

The finance lead should establish what confirmation is acceptable where receipt is not entered before payment, who may provide it, and how it will be retained with the payment support. The organisation should also settle who confirms service delivery and ensure that the confirmation forms part of the payment decision.

POSITION	CORE CONTROL	OWNER	FIRST RESPONSE
A question the answers leave open	Three-way match: in place	Finance lead	30 days (proposed)

PEOPLE, PAYROLL AND INSIDER RISK

Block leave may not reach every role where continuous control could conceal fraud

The organisation reports that block leave is required for everyone in a sensitive role, while the maintained identification of roles requiring this treatment is reported as partly in place. The answers do not show how management knows that every relevant role is within the requirement.

An employee who controls a process alone and does not hand over work may have an opportunity to conceal irregular activity over an extended period. Where another person does the work during leave, unusual transactions, unclear procedures or unexplained adjustments may become visible. Without a clear role list, some roles may not receive this form of scrutiny.

A robust arrangement identifies sensitive roles, links those roles to the block leave requirement, appoints cover that does not create conflicting duties, and reviews work undertaken during the absence for irregularities. The objective is to create an ordinary operational handover that can reveal anomalies, rather than to treat leave as a disciplinary measure.

The HR and payroll lead should explain how sensitive roles are currently identified and establish a maintained list that supports the block leave requirement. The chief executive should then ensure that role coverage, leave compliance and the review of work performed during leave are subject to appropriate management oversight.

POSITION	CORE CONTROL	OWNER	FIRST RESPONSE
A question the answers leave open	Block leave required: in place	HR and payroll lead	30 days (proposed)

FRAUD RISK ASSESSMENT

The fraud assessment may not identify schemes in the organisation's own processes

The organisation reports that a dedicated fraud risk assessment is in place. Related practices are weaker, however, including management ownership of the results, participation by process owners, describing risks as schemes, and walking through processes. These practices determine whether an assessment is connected to how the organisation actually operates.

A general list of fraud risks may not identify the specific points at which an individual could exploit a process. Without input from people who perform the work, the assessment may overlook routine workarounds, local approvals, handovers, system access arrangements or documentation practices that shape the opportunity for fraud.

Useful assessments describe each fraud risk as a specific scheme, including who might commit it, how it could happen and in which process. Management should accept the results, each significant risk should have an agreed owner, and process owners should contribute through workshops or interviews. Process walkthroughs can then connect each scheme to the relevant control steps.

The fraud risk lead should coordinate this work for the chief executive, beginning with the processes in scope for the assessment. The result should give management a clear view of schemes, accountable owners and the control responses that require design or improvement.

POSITION	CORE CONTROL	OWNER	FIRST RESPONSE
Core control in place; related practice weaker	Fraud risks assessed: in place	Fraud risk lead	90 days (proposed)

THIRD PARTIES AND SUPPLY CHAIN

Supplier onboarding may permit a fictitious supplier to remain available for payment

The organisation reports a defined process for new suppliers, with monitoring of compliance and exceptions. Related practices are weaker or absent, including approval by another person, identification of directors, comparison of directors with staff, supplier re-checking and deactivation of dormant suppliers. These practices support the integrity of the supplier population after the initial onboarding step.

A fictitious or shell supplier could be created by an insider or an outsider and used to submit invoices into ordinary payment cycles. Where onboarding can be bypassed, supplier details are not subject to independent approval, and dormant suppliers remain active, the organisation may have fewer opportunities to identify an inappropriate supplier before payment is made.

A stronger supplier process requires an authorised person other than the initiator to approve the supplier, establishes who stands behind the supplier, compares relevant director information with staff where appropriate, reconsiders suppliers over time, and closes suppliers that are no longer in use. Compliance monitoring and exception reporting then help management see where the process has not been followed.

The procurement lead should set out the current onboarding route and establish the supporting practices described in the organisation's answers. The chief executive should ensure that the process distinguishes clearly between initiating a supplier request, approving the supplier, maintaining supplier details and authorising payment.

POSITION	CORE CONTROL	OWNER	FIRST RESPONSE
Core control in place; related practice weaker	New supplier process: in place	Procurement lead	In the workbook action register

FRAUD RISK ASSESSMENT

Fraud assessment updates may not remain visible as the business changes

The organisation reports that change projects include a fraud risk step and that the assessment owner confirms completion. Related practices are reported as not in place for documenting the assessment and ensuring that owners know their risks. The control may therefore be present in principle without a clear record of what changed and who must act.

Business changes can introduce new products, structures, suppliers, markets, outsourced activities or process steps. If fraud implications are considered but not documented or communicated to owners, management may not be able to show what schemes were considered, which controls were changed, or whether the responsible people understand the exposure in their area.

Good practice is to include a fraud assessment step in relevant change activity, document the resulting assessment update, communicate the relevant risks to owners, and require owners to acknowledge their responsibilities. This provides a continuing link between business change, fraud exposure and the controls that need to operate.

The fraud risk lead should ensure that updates arising from change projects are retained within the current assessment and that owners are informed of the risks relevant to their processes. The chief executive should receive status information showing whether the fraud step has been completed for relevant changes.

POSITION	CORE CONTROL	OWNER	FIRST RESPONSE
Core control in place; related practice weaker	Updated when the business changes: in place	Fraud risk lead	In the workbook action register

HOW FRAUD EXPOSURE COULD MATERIALISE

The selected weaknesses could enable fraud through ordinary business processes

FRAUD PATHWAY · THIRD PARTIES AND SUPPLY CHAIN

An invoice could be paid although goods were not delivered or services were not performed

A supplier may inflate billing, submit an invoice for goods not supplied, or claim payment for services not delivered. The entry point is an ordinary invoice that appears to relate to an approved order or contract. If the invoice is approved by someone who did not receive the goods or service, it may move through the normal payment run without a reliable confirmation of what was actually received.

The weakness relied on is uncertainty about receipt evidence and service confirmation. An approval can make the invoice appear properly processed, while overbilling is hidden among routine transactions. The consequence could be continuing overpayment and spend that cannot be reconciled to the goods or services obtained by the organisation.

Warning signs include invoices without matching receipt information, rates above the agreed terms, service invoices approved by people distant from the work, and a prolonged pattern of approvals for the same supplier. Finance should hold suspect payments, reconcile them to orders and receipt evidence, and preserve the approval trail while the position is considered.

WARNING SIGNS

- Invoices without a matching receipt or delivery note
- Rates above the agreed contract
- Service invoices approved by people far from the work
- One approver for a supplier's invoices over a long period

FIRST RESPONSE

Hold payment on the suspect invoices, reconcile them to orders and receipts, and preserve the approval trail.

LASTING CONTROL

Every invoice is matched to an approved order and a recorded receipt or confirmed service before payment.

FRAUD PATHWAY · FRAUD RISK ASSESSMENT

AI-generated impersonation could defeat a control that relies on recognition alone

An outsider could use AI tools to imitate a known person, construct a synthetic identity or generate a convincing document. The entry point could be an instruction, application or document received through an ordinary organisational channel. A control may perform as designed, yet accept the false artefact because it relies on recognising a voice, face, signature or document.

The weakness is that the fraud assessment has not clearly considered how AI could be used against controls in the relevant processes. The apparent success of the recognition check may conceal the failure because the process record shows that the usual check was completed, even though the person or document being recognised was not genuine.

Warning signs include requests relying solely on recognition, polished documents from unfamiliar counterparties, voice or video contact that avoids ordinary interaction, and identity details that appear unusually consistent. The organisation should confirm suspect instructions through a separate known channel and suspend reliance on recognition-only checks in the affected process while a safer arrangement is established.

WARNING SIGNS

- Requests that rely only on recognising a person or document
- Documents with flawless formatting from new counterparties
- Video or voice contact that avoids interaction
- Identity details that fit together too neatly

FIRST RESPONSE

Confirm the instruction or document with its source through a separate known channel, and suspend reliance on recognition-only checks in the process concerned.

LASTING CONTROL

The fraud risk assessment asks, for each high-risk process, how AI could be used against its controls, and controls that rely on recognition are tested and redesigned.

FRAUD PATHWAY · PEOPLE, PAYROLL AND INSIDER RISK

Continuous control of a sensitive role could allow an insider to conceal irregular activity

A trusted employee in a sensitive role may process work without meaningful handover over an extended period. The entry point is ordinary daily activity in payroll, creditors, stock or another controlled process. The employee could manipulate records and respond to queries in a way that keeps the activity hidden from colleagues.

The weakness arises where sensitive roles are not clearly identified and block leave does not reliably require another person to complete the work. Continuous attention can conceal a scheme because anomalies are never exposed to a different person who might question

an unexplained adjustment, unfamiliar supplier, unusual payment or irregular stock movement.

Warning signs include an employee in a sensitive role who avoids leave, work understood by only one person, queries always routed to the same individual, and resistance to rotation or process change. The organisation should place the work with another person, review the relevant transactions, and preserve the available records before approaching the employee concerned.

WARNING SIGNS

- An employee in a sensitive role who does not take leave
- Work that only one person understands or is allowed to do
- Queries that are always routed to the same person
- Resistance to rotation or process change

FIRST RESPONSE

Place the work with someone else immediately, review the period's transactions, and preserve the records before the employee is approached.

LASTING CONTROL

Sensitive roles are identified and recorded, and everyone in them takes block leave each year during which someone else does their work.

WHAT MANAGEMENT SHOULD DO FIRST

The proposed responses begin by settling the answers before strengthening fraud assessment practices

The first response is to settle the contradiction about AI-enabled schemes. The chief executive is accountable and the fraud risk lead is the practical owner. The work should establish which answer reflects the operating process, ensure that the answers agree with one another, and amend the assessment where necessary.

The proposed outcome is a clear written position that aligns with how the organisation's assessment operates. This should explain whether relevant processes consider AI-enabled fraud and whether the assessment asks how AI could be used against controls in those processes.

The next response is to answer the open questions concerning risk tolerance, invoice confirmation and coverage of sensitive roles. The chief executive is accountable, with the fraud risk lead, finance lead and HR and payroll lead acting as practical owners. Each question should receive an answer from the process owner, with the assessment amended where the answer shows that the reported position needs correction.

This work should establish how management identifies risks requiring a response, what evidence supports invoice payment where receipt is not entered, who confirms services, and how the organisation identifies roles subject to block leave. These answers will determine whether the reported controls can be relied upon in their present form.

Management ownership of the fraud assessment should then be established. The chief executive is accountable and the fraud risk lead is the practical owner. Management should formally accept the assessment results, and every significant risk should have an agreed owner responsible for the response.

The desired result is an assessment that shows management acceptance and a named owner for every significant risk. This will provide a clear route for escalation where a response has not been agreed, where a control needs improvement, or where a process owner needs to act.

Process owners should participate in the fraud assessment through workshops or interviews facilitated by the fraud risk lead. The chief executive is accountable for ensuring that the people who operate the relevant processes contribute their practical knowledge of how work is performed and where it could be exploited.

The outcome should show participation by the people who run each relevant process. Their contribution should enable the organisation to identify ordinary workarounds, approval points, documentation requirements and handovers that may create or reduce opportunity for fraud.

Each fraud risk should be described as a specific scheme rather than as a broad category. The chief executive is accountable and the fraud risk lead is the practical owner. Each description should state who could commit the scheme, how it could happen and the process in which it could occur.

The result should give management a practical account of each scheme and support clear decisions about the controls that address it. It will also enable the organisation to distinguish between a general concern and a process-specific fraud opportunity requiring an owner and response.

Relevant processes should be walked through step by step with the people who run them. The chief executive is accountable and the fraud risk lead is the practical owner. The walkthrough should identify where fraud could occur, what controls apply, who performs them and what information supports the control decision.

The outcome should include a walkthrough for each relevant process and an account of where control improvements are required. This will give the organisation a practical foundation for keeping the assessment current as its business, processes and fraud threats change.

FIRST RESPONSES

RESPONSE	ACCOUNTABLE EXECUTIVE	PRACTICAL OWNER	PROPOSED STAGE	SUCCESS MEASURE
Settle the answers about AI-enabled schemes	Chief executive	Fraud risk lead	30 days	The answers agree with each other and with how the process runs, and the corrected answer is recorded.
Answer the three questions the answers leave open	Chief executive	Fraud risk lead, Finance lead and HR and payroll lead	30 days	Each question has a written answer from the process owner, and the assessment is corrected where needed.
Management owns the results	Chief executive	Fraud risk lead	90 days	The assessment current at the end of the period shows formal acceptance by management and an agreed owner for every significant risk.
Process owners take part	Chief executive	Fraud risk lead	90 days	The assessment current at the end of the period shows participation by the people who run every high-risk process.

RESPONSE	ACCOUNTABLE EXECUTIVE	PRACTICAL OWNER	PROPOSED STAGE	SUCCESS MEASURE
Risks described as schemes	Chief executive	Fraud risk lead	90 days	The assessment current at the end of the period shows every risk described with its perpetrator, method and process.
Processes walked through	Chief executive	Fraud risk lead	90 days	The assessment current at the end of the period shows a recorded walkthrough for every high-risk process.

Responses are listed in the order the work should start, which is not a ranking of fraud risk. Stages are proposals for management's own plan, not deadlines. Full specifications, records and failure responses are in the supporting workbook.

A 30, 60 AND 90 DAY RESPONSE

The proposed programme establishes facts, designs the controls and begins operation under board oversight

The proposed opening stage is intended to establish the facts, name owners and decide the order of work. During this period, every answer requiring settlement or clarification should receive a written response, open items should have owners, and each affected area should have an accountable executive. The time window is a proposal rather than a deadline.

The fraud risk lead, finance lead, HR and payroll lead, procurement lead and chief executive have roles in this opening work. Their task is to ensure that the unresolved answers are addressed by the people who operate the relevant processes and that the resulting position is clear enough to support management action.

The proposed middle stage is intended to approve the design, owner and supporting record for the controls set out first. It should establish management ownership of the assessment, process-owner participation, scheme descriptions and walkthroughs. The fraud risk lead should coordinate this work and present the resulting arrangements for management approval.

The proposed later stage is intended to begin operating the priority controls and report status to the board. Each priority control should have completed an operating cycle and retained the relevant management information. The chief executive and fraud risk lead should provide the board with a clear account of progress, unresolved matters and actions requiring further direction.

THE FIRST NINETY DAYS, IN PROPOSED STAGES

30 days

PROPOSED STAGE

Establish the facts, name the owners and decide the order of work.

- Every answer to settle or question to clarify has a written answer
- Every outstanding question answered, or an open item with an owner
- Each open area has a named accountable executive
- The order of work is recorded with the factors behind it

OWNERS

Fraud risk lead, Finance lead, HR and payroll lead, Procurement lead, Chief executive

60 days

PROPOSED STAGE

Approve the design, owner and record for each priority control, and schedule its first operating cycle.

- Management owns the results
- Process owners take part
- Risks described as schemes
- Processes walked through

OWNERS

Fraud risk lead

90 days

PROPOSED STAGE

Start operating the priority controls and report status to the oversight body.

- Each priority control has run at least once and kept its record
- Status reported to the board

OWNERS

Chief executive, Fraud risk lead

Windows are proposals for management's own plan. They are not deadlines, contractual dates or estimates of how long any control takes to design, put in place or show to be working. Every action, with its deliverable and completion test, is in the supporting workbook.

BASIS OF THIS REPORT

This assessment relies on the organisation's own answers and leaves approval matters visible

Every finding in this report rests on the organisation's own answers. MK has not examined documents, interviewed staff or assessed the operation of any control. The organisation's answers were compared through 50 answer relationships, and the report treats contradictions and unanswered questions as matters requiring settlement rather than as evidence that a control operates.

Where an answer is unclear or inconsistent, the report identifies the matter for management to settle. Where a core control is reported as present but a related practice is weaker, the report describes the practical limitation and proposes action to strengthen the support around that control. Records referred to in this report are records management should maintain; they have not been reviewed for this assessment.

No approved readiness conclusion is drawn because the readiness method has not been approved. The selection of findings and proposed responses is not a priority ranking of fraud risks. Approval of control content, scenario structures and decision content remains

pending, and any separate independent evidence review belongs to a separately scoped advisory engagement.

MANAGEMENT CONCLUSION

Leadership can strengthen the reported control position by settling answers and making fraud assessment operational

The organisation reports a substantial base of core controls across the scenarios that apply to it. That position is tempered by unresolved answers and related practices that require strengthening. Leadership should recognise that the immediate task is not to assume that every reported control provides the same level of practical protection, but to establish how the controls operate in the relevant processes.

The proposed programme begins with resolving the contradiction concerning AI-enabled schemes and answering the questions about risk response, invoice evidence and sensitive roles. It then establishes management ownership, process-owner participation, scheme descriptions and walkthroughs so that the fraud assessment becomes a useful guide for operating controls.

By the end of the proposed programme, the organisation should have settled the open answers, assigned accountable owners, begun operating the selected controls and reported progress to the board. The sensible next step is for the board to require the chief executive and practical owners to proceed with the proposed work and provide clear status reporting on what has been established and what remains open.

Fraud strategy, readiness and operational resilience.

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This report was prepared for the management of Marula Retail Holdings (Pty) Ltd (fictional) on the basis of the organisation's own answers to the MK Fraud Readiness assessment. It is confidential to the organisation. MK Fraud Insights is a trading name of Stonda (Pty) Ltd. Restricted test; not for customer release.